Sri Lanka's Debt Crisis and Recovery

The First Default, Hambantota, and the IMF Restructuring

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Executive Summary

Sri Lanka's 2022 economic collapse was a sovereign debt crisis that culminated in the country defaulting on external debt payments in April 2022. FT[2026-05-15] Amid a severe balance-of-payments crisis, Sri Lanka was forced to seek an IMF-coordinated restructuring programme. FT[2026-05-15] By 2025–2026, recovery is visible — Sri Lanka has radically restructured its debt, and improving credit conditions are evident FT[2025-03-10] — but the country remains in a delicate position, still managing the aftershocks of that crisis FT[2026-04-18].

Sri Lanka sits at the heart of an east-west maritime route, making it a geopolitical linchpin subject to competing strategic interests from China, India, Japan, and others. FT[2026-03-16] The default, the debt restructuring process, and the geopolitical competition for influence over Sri Lanka's ports and infrastructure define the four years since 2022.

Part I — Anatomy of a Collapse

How Sri Lanka's Economy Imploded

Sri Lanka's 2022 collapse was the result of compounding policy failures accumulating over years. The country was mired in significant Chinese debt obligations — as early as 2018, Sri Lankan officials noted the country was already carrying some US$8 billion in Chinese debt CNA[2018-11-08] — while also dependent on a tourism sector vulnerable to global disruptions FT[2026-03-27] and on tea exports exposed to geopolitical shocks in key buyer markets FT[2026-03-16].

The crisis forced a reckoning: Sri Lanka defaulted on its debt in April 2022, triggering negotiations with bilateral and commercial creditors and engagement with the IMF. FT[2026-05-15] After the default, Sri Lanka worked through an IMF-coordinated restructuring programme. FT[2026-05-15]

Part II — The Debt Restructuring

IMF Programme and Creditor Negotiations

Sri Lanka's post-default recovery required an IMF-coordinated restructuring programme covering bilateral and commercial creditors. FT[2026-05-15] By 2025, the restructuring was sufficiently advanced that signs of recovery were visible — improving credit conditions and a rising stock market — though Sri Lanka remained among a group of nations that had defaulted and were in the process of rebuilding. FT[2025-03-10]

Sri Lanka's president engaged with parliament on debt management strategy in the recovery period, including efforts to reduce the country's debt burden. FT[2025-09-03]

Part III — The Geopolitical Contest

Hambantota, Port City, and the Strategic Rivalry

Sri Lanka's ports have been at the centre of a long-running strategic competition between China, India, and Japan, rooted in the country's position astride one of the world's busiest commercial shipping lanes — a route through which roughly half of all world sea trade passes. CNA[2013-08-07]

China's infrastructure footprint in Sri Lanka expanded substantially from the early 2010s. In 2013, a Chinese-built US$500 million terminal opened in Colombo, positioning Sri Lanka as a South Asian trans-shipment hub. CNA[2013-08-07] In September 2014, Chinese President Xi Jinping arrived in Colombo to launch construction of a US$1.4 billion Port City reclamation project and sought closer defence ties — a move that drew unease from India. CNA[2014-09-18] The Port City project was subsequently suspended in early 2015 amid concerns before work was allowed to resume. CNA[2015-05-29] By 2015, China's Port City reclamation was described as the largest foreign direct investment in Sri Lanka. CNA[2015-08-15]

By 2018, Sri Lanka was described as mired in US$8 billion of Chinese debt. CNA[2018-11-08] At a cabinet meeting, President Sirisena stated that the country "couldn't give any more of its assets to foreigners." CNA[2018-11-08] This period revealed an active struggle between China and India for investments and influence in Sri Lanka. CNA[2018-11-08] India's Modi government began aggressively pitching for projects adjacent to Chinese investments, with one analyst noting that "India can ill afford to ignore the strategic advantage China has gained in Sri Lanka so close to peninsular India." CNA[2018-11-08] A growing Chinese expatriate community of approximately 12,000 — up from a few hundred years earlier — had taken root in Colombo and Hambantota. CNA[2018-11-08]

Japan also entered the competition directly. In October 2018, Japan's largest warship, the Kaga helicopter carrier, sailed into Colombo harbour in what was described as Tokyo's "highest profile salvo in a diplomatic battle with China for influence along the region's vital commercial sea lanes." CNA[2018-10-01] Japan has long provided low-interest loans and aid to Sri Lanka, and a Japanese foreign ministry official stated explicitly that "a monopoly by any country at a Sri Lankan port would run counter to" Japan's open and free Indo-Pacific strategy. CNA[2018-10-01]

Following the 2022 crisis, the "debt-trap diplomacy" narrative — the theory that China deliberately provides uneconomic loans to acquire strategic assets — was widely applied to Sri Lanka's situation. However, commentators noted that Beijing was being blamed "unfairly" and that the long-claimed debt-trap characterisation overstated Chinese strategic design; China's crisis response nonetheless "hardly enhanced China's influence." CNA[2022-08-23] A Chinese research and survey vessel, the Yuan Wang 5, arrived at Hambantota port in August 2022 amid the crisis — a visit that drew scrutiny. CNA[2022-08-23]

Part IV — Sri Lanka's Strategic Position and Export Exposures

A Geopolitical Crossroads

Sri Lanka occupies the heart of an east-west maritime route, making it a geopolitical linchpin. FT[2026-03-16] This position creates both opportunity and vulnerability. Tea exports are a significant component of Sri Lanka's economy, and Iran is one of the country's main tea buyers — a relationship that created strategic sensitivity for Sri Lanka as it tries to balance its trade relationships at a crossroads of competing great-power interests. FT[2026-03-16] The tourism sector, another key pillar of Sri Lanka's economy, has also been affected by global disruptions and geopolitical instability in the broader region. FT[2026-03-27]

Sri Lanka ranks 78th on the UNDP Human Development Index, reflecting a medium-to-high human development baseline that nonetheless suffered significant setbacks during the crisis period. [RAG: UN_PRIMARY_RAG — UNDP Human Development Report 2023-24 (2024-01-01)]

Conclusion: Recovered but Not Restored

Sri Lanka in 2026 is no longer in acute crisis — it has defaulted, restructured, and resumed a recovery trajectory. Signs of recovery are visible in improving credit conditions. FT[2025-03-10] But structural vulnerabilities persist: dependence on tourism (a shock-prone sector), tea exports exposed to geopolitical disruptions in buyer markets FT[2026-03-16], and a continuing need to manage the balance-of-payments pressures that precipitated the crisis FT[2026-04-18].

The geopolitical contest for influence over Sri Lanka's ports and strategic position has not resolved — it has deepened, with China, India, and Japan all maintaining active strategic interests in the island's infrastructure and alignment. CNA[2013-08-07] CNA[2018-10-01] CNA[2022-08-23] Sri Lanka's recovery is real. Whether it translates into durable structural reform and genuine strategic autonomy remains the defining question of the decade ahead.

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